- **Difference between current assets and non-current assets**:
    - **Current Assets**: These are assets that are expected to be converted into cash or used up within one year (or within the company's operating cycle, if longer). Examples include cash, accounts receivable, inventory, and short-term investments.
    - **Non-Current Assets**: These are assets that are expected to provide economic benefits for more than one year. They include property, plant and equipment, intangible assets, and long-term investments.
- **Financial statement for non-current assets**: Non-current assets are found on the **balance sheet**.
- **Financial statements for long-term debt**: Long-term debt is reported on the **balance sheet** under liabilities, specifically in the long-term liabilities section. It may also appear in the **cash flow statement** under financing activities when debt is issued or repaid.
- **Important items on the balance sheet for fundamental analysis**: Key items include:
    - Total assets
    - Total liabilities
    - Shareholders' equity
    - Current assets and current liabilities (for calculating liquidity ratios)
    - Long-term debt (for assessing financial leverage)
- **Common examples of non-current assets**:
    - Property, plant, and equipment (e.g., buildings, machinery)
    - Intangible assets (e.g., patents, trademarks, goodwill)
    - Long-term investments (e.g., stocks, bonds held for more than a year)
    - Investment property (e.g., real estate held for rental income or capital appreciation)

Question# 2

Sarah, a passionate baker, started her own bakery as a sole trader. She loves the freedom of running her own business, setting her own hours, and being able to make all decisions independently. However, Sarah is also responsible for every aspect of the business, from baking and marketing to accounting and customer service. Sarah's bakery becomes quite popular, and she starts receiving large orders from local cafes and events. As her business grows, she struggles to keep up with demand, and her workload becomes overwhelming. One day, a customer slips and falls in the bakery due to a wet floor, resulting in a lawsuit for medical expenses. 1. How could the lawsuit impact Sarah personally, considering she is a sole trader? 2. What could Sarah do to manage the growth of her business and minimize risks?

- **Impact of the lawsuit on Sarah personally as a sole trader**:
    - As a **sole trader**, Sarah and her business are considered one legal entity. This means she has **unlimited liability**, which makes her personally responsible for all business debts and liabilities. If the customer sues her bakery for medical expenses, her **personal assets** (such as her savings, house, or car) could be at risk if the business cannot cover the lawsuit costs. In other words, the court could require Sarah to use her personal finances to settle the legal dispute.
- **Ways for Sarah to manage the growth of her business and minimize risks**:
    - **Hire Employees or Delegate Tasks**: To handle the increasing workload, Sarah could hire more staff to help with baking, marketing, or customer service, freeing her to focus on higher-level decision-making.
    - **Outsource Non-Core Functions**: Sarah could outsource certain functions like accounting or marketing to professionals, allowing her to concentrate on baking and customer service.
    - **Incorporate the Business**: Sarah could consider incorporating her business to form a **limited liability company (LLC)**. This would separate her personal assets from the business and limit her liability, meaning her personal assets would not be at risk in the event of a lawsuit or debt.
    - **Purchase Business Insurance**: To mitigate financial risks like lawsuits, Sarah could obtain **liability insurance** to cover incidents such as customer injuries. This would protect her financially and reduce personal risk in the event of accidents or legal claims.
    - **Implement Risk Management Practices**: Sarah could establish policies to prevent accidents, such as regularly checking for potential hazards (e.g., wet floors), installing warning signs, and training staff on safety protocols.
    - **Expand Production Capacity**: As her business grows, Sarah could invest in new equipment, expand her production space, or partner with other bakeries to meet demand without overworking herself. She could also explore **scaling production** by renting a commercial kitchen or automating certain baking processes.

Question # 3

You and a few friends are thinking of going into business together to offer software development and system integration services to small businesses. Explain why it would be wise (or, alternatively, why you think it would not be wise) to form yourselves into a limited company.

Advantages of Forming a Limited Company:

1. **Limited Liability Protection:**

- The primary benefit of forming a limited company is the protection it offers to the owners (shareholders). If the company incurs debt or is sued, the personal assets of the shareholders are typically protected. This is crucial in the software industry, where contractual disputes or project failures could lead to litigation.

2. **Professional Image:**
   - Operating as a limited company can enhance your business's credibility and professionalism. It signals to clients that you are serious and committed to your business, which can be a deciding factor for small businesses when choosing a service provider.
3. **Tax Benefits:**
   - Limited companies often have access to a wider range of tax-deductible expenses, including salaries, pensions, and equipment. In some jurisdictions, the corporate tax rate may be lower than personal income tax rates, leading to potential tax savings.
4. **Ease of Ownership Transfer:**
   - Shares in a limited company can be sold or transferred, making it easier to bring in new investors or exit the business without affecting its continuity.
5. **Attracting Investment:**
   - A limited company structure can make it easier to attract investors, as they can buy shares in the company. This can be helpful if you plan to scale your business or need additional capital to fund growth.
6. **Separate Legal Entity:**
   - The company is a separate legal entity, meaning it can enter into contracts, own property, and sue or be sued independently of its owners.

Disadvantages of Forming a Limited Company:

1. **Increased Administrative Burden:**
   - Limited companies are subject to more regulations and compliance requirements, such as filing annual returns, maintaining statutory records, and preparing detailed financial statements. This can be time-consuming and costly.
2. **Costs:**
   - There are initial and ongoing costs associated with forming and maintaining a limited company, including registration fees, accounting, and legal services.
3. **Less Control:**
   - Shareholders have a say in how the business is run, which could lead to disagreements among co-founders. You may also have to report to a board of directors if the company grows, which could reduce direct control over business decisions.
4. **Public Disclosure:**
   - Limited companies are often required to disclose certain information to the public, such as financial statements and shareholder details. This lack of privacy may not be desirable for all businesses.

Conclusion:

Overall, forming a limited company is generally wise for a software development and system integration business due to the benefits of limited liability, professional image, and tax advantages. However, the decision should be weighed against the increased administrative responsibilities and costs. If your business is small and has low financial risk, you might consider operating as a partnership or sole proprietorship initially and then transition to a limited company as the business grows.

Question # 4

Tech Innovators, a tech startup founded by three university friends, aims to revolutionize small businesses with innovative software solutions for inventory management and sales optimization. The founders, Sarah, John, and Michael, bring complementary skills—Sarah is the software developer, John handles marketing, and Michael manages finance. However, despite their skills and a promising product prototype, they face a significant challenge: securing funding to scale their operations, develop a market-ready product, and hire additional team members.

Funding Needs: The founders estimate they need $500,000 to cover:

- Product development and enhancement.
- Marketing and sales initiatives.
- Hiring skilled developers and sales personnel.
- Office space and other operational expenses.

Which financing option would you have chosen if you were in the founders' position? Why?

- What are the pros and cons of using personal savings and loans from friends and family to fund a startup?
- Evaluate the role of government grants in startup funding. Are they

worth the time and effort required?
▪ What factors should be considered when deciding between debt and equity financing for a startup?

Preferred Financing Option:
I would choose a combination of equity financing and government grants. This approach would help mitigate personal financial risk while providing the capital needed for growth. Equity financing would allow the founders to secure substantial funds without the immediate burden of repayment, while government grants could provide additional non-dilutive funding.

1. Pros and Cons of Using Personal Savings and Loans from Friends and Family:

Pros:

1. **Control and Ownership:**
   - Using personal savings or loans from friends and family means the founders retain full control and ownership of the company. There's no dilution of equity or influence from external investors.
2. **Flexible Terms:**
   - Friends and family may offer more flexible repayment terms and lower interest rates compared to banks or other lenders.
3. **Speed and Accessibility:**
   - Accessing personal savings or approaching friends and family is often quicker than securing external funding. There are fewer formalities and documentation requirements.

Cons:

1. **Personal Financial Risk:**
   - Investing personal savings in a startup is risky. If the business fails, the founders may face significant personal financial losses, impacting their financial stability and future plans.
2. **Relationship Strain:**
   - Loans from friends and family can strain personal relationships, especially if the business struggles or fails to generate expected returns.
3. **Limited Resources:**
   - Personal savings and loans from friends and family might not be sufficient to meet the full funding needs, especially in this case, where $500,000 is required.

2. Evaluating the Role of Government Grants:

Pros:

1. **Non-Dilutive Capital:**
   - Government grants do not require giving up equity or taking on debt, making them an attractive option for startups looking to fund growth without diluting ownership.
2. **Validation and Credibility:**
   - Receiving a government grant can serve as a form of validation for the business and its potential, boosting credibility with other investors and stakeholders.
3. **Support and Resources:**
   - In addition to funding, some government programs provide mentorship, networking opportunities, and access to resources that can benefit the startup.

Cons:

1. **Competitive and Time-Consuming:**
   - The application process for government grants is often competitive and time-consuming, with no guarantee of success. Preparing detailed proposals and meeting eligibility criteria can divert time and resources away from core business activities.
2. **Restrictions and Conditions:**
   - Many grants come with restrictions on how the funds can be used, which may limit flexibility in spending on business priorities.
3. **Delayed Funding:**
   - Even if approved, it may take months for the funds to be disbursed, which could delay the startup's plans.

3. Factors to Consider When Deciding Between Debt and Equity Financing:

Debt Financing:

1. **Pros:**
   - **Retention of Ownership:** The founders retain full control and ownership of the company.
   - **Tax Benefits:** Interest payments on business loans are often tax-deductible.
   - **Predictable Repayment:** Fixed monthly payments can make budgeting easier.
2. **Cons:**
   - **Repayment Obligation:** Debt must be repaid regardless of business performance, creating financial pressure, especially for startups with uncertain revenue streams.

- **Collateral Requirements:** Lenders may require personal guarantees or collateral, risking personal assets.

Equity Financing:

1. **Pros:**
   - **No Repayment Obligation:** There is no obligation to repay investors if the business struggles, reducing financial stress.
   - **Access to Expertise and Network:** Investors often bring valuable industry experience, connections, and strategic guidance.
2. **Cons:**
   - **Dilution of Ownership:** The founders must give up a portion of ownership and control, potentially impacting decision-making.
   - **Investor Expectations:** Investors expect returns on their investment, which can create pressure to achieve rapid growth and profitability.

Conclusion:

In the case of Tech Innovators, combining equity financing with government grants is a strategic choice. It provides the necessary capital without overwhelming the founders with debt obligations, while also benefiting from the validation and support that grants offer. However, the founders should carefully evaluate each financing option based on their business goals, risk tolerance, and the long-term vision for the company.